



PRESENTS

CORE TRAINING [ANALYSIS]

Market Structure Principles and Concepts

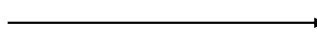
with Frank Ochoa, AKA *PivotBoss*
Author, *Secrets of a Pivot Boss*



ANALYSIS: MARKET STRUCTURE PRINCIPLES AND CONCEPTS

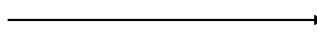
Market Structure principles are extremely important to understanding how *the supply and demand equation affects price, which is valuable to forecasting future price action*. In this training, we will delve into powerful market structure principles and concepts that will help improve your ability to analyze, forecast, and execute in any market.

1. The Three Wyckoff Laws: These principles lay the groundwork for our understanding of price action



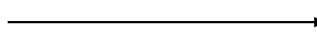
THEORY

2. Market Structure Types: Understanding these market structure types is important for forecasting price action



ANALYSIS

3. Market Structure Trades: High probability trade ideas that recur in various market structure types



EXECUTION



THE WYCKOFF METHODOLOGY

Richard D. Wyckoff (1873—1934) was a pioneer in technical analysis. His comprehensive work, known as the Wyckoff Methodology, has withstood the test of time. **The Three Wyckoff Laws** are the driving force behind The Methodology, and his **Four Market Phases** are essential to anticipating and forecasting future price action.

THE THREE WYCKOFF LAWS

1. **The Law of Supply and Demand**— This law determines the direction of price movement
2. **The Law of Cause and Effect**— This law studies the cause that will result in the effect
3. **The Law of Effort and Result**— This law measures the effort versus the subsequent result

THE FOUR MARKET PHASES

1. **Accumulation Phase**— This phase builds the force (CAUSE) that leads to expansion and markup (EFFECT)
2. **Markup Phase**— This phase occurs after accumulation (CAUSE) and is a bullish trending phase (EFFECT)
3. **Distribution Phase**— This phase builds the force (CAUSE) that leads to expansion and markdown (EFFECT)
4. **Markdown Phase**— This phase occurs after distribution (CAUSE) and is a bearish trending phase (EFFECT)



The Law of Supply and Demand

Wyckoff's Law of Supply and Demand is a principle that determines the direction of price and examines the quality of ownership of the supply. The Supply/Demand equation drives price action.

- The Supply/Demand equation determines the direction of price
- When demand is greater than supply, prices will rise
- When supply is low, any incremental increase in demand will cause price to move higher
- When supply is greater than demand, prices will fall
- When supply is high, any incremental decrease in demand will cause price to move lower
- When stock has been absorbed it is in strong hands— this measures the quality of ownership of the stock
- When stock is being distributed it is going into weak hands— this measures the quality of ownership of the stock
- When stock is in a trading range, supply and demand are about equal
- The balance of ownership begins to shift within a trading range, which will change the Supply and Demand equation
- Eventually expansion from the trading range occurs, and markup or markdown will begin, which will directly reflect the imbalance of supply and demand



The Law of Cause and Effect

Wyckoff's Law of Cause and Effect is a principle that studies the cause that will result in the effect. In essence, this law measures the force behind a move, as the effect will be directly proportional to the size of the cause.

- Studies the cause that will result in the effect
- A cause must develop in order for there to be an effect
- The effect will be in proportion to the size of the preceding cause
- A large cause will result in a large effect
- A small cause will result in a small effect
- Accumulation and distribution phases build the cause
- Markup and markdown phases are the effect
- The size and duration of the accumulation/distribution will decide the size, strength, and duration of the subsequent markup/markdown
- Accumulation/distribution phases fuel the resulting markup/markdown phases



The Law of Effort and Result

Wyckoff's Law of Effort and Result is a principle that measures the effort versus the subsequent result. Effort is required to drive price higher or lower, and the strength of the effort will directly correspond to the strength of the subsequent result.

- Measures the effort versus the subsequent result
- Effort drives result
- Effort can be measured in the form of Volume
- Result can be measured in the form of price action
- In order for a result to be achieved, the required effort must be present
- Strong effort will feature expanding volume and expanding price ranges
- Weak effort (fatigue) will feature narrowing price ranges and expanding volume
- Strong effort with minimal result is an indication of fatigue, and suggests a price correction may be seen



MARKET STRUCTURE TYPES

Markets go through various phases of market structure over time. Understanding the various types of market structures and knowing their tendencies will allow you to anticipate and forecast future price action with greater precision, thereby allowing you to position yourself accordingly.

- 1. Clean Market Structure:** Occurs when price trades within clearly established price distributions and, upon expansion, will develop a new price distribution completely above (or below) the previous distribution. This pattern will continue until failed market structure occurs.
- 2. Failed Market Structure:** Occurs when price fails to hold completely above (or below) the previous price distribution, thus sparking a high probability reversal across the width of the previous distribution.
- 3. Compartmentalized Market Structure:** Occurs when the width of a trading range is so wide that the market must compartmentalize the range into smaller price distributions in order to better facilitate trade.
- 4. Converging Market Structure:** Occurs when two independent price distributions converge to create one price distribution. This behavior typically precedes a powerful phase of expansion.
- 5. Bubble Market Structure:** Occurs when price action progressively accelerates at a parabolic rate, which ultimately leads to a catastrophic fall.



PIVOTBOSS
MASTERS

MARKET STRUCTURE TRADES

Market structure opportunities are among the most powerful trades that you'll come across. These trades offer high odds of success and recur throughout the market structure lifecycle.

BULLISH MARKET STRUCTURE

- 1. Failed New Low (Accumulation Phase):** The failed new low (failed range expansion) at the bottom of Accumulation is one of the most powerful trade opportunities
- 2. Expansion from Accumulation Phase:** The transition day from Accumulation to Markup can oftentimes be an explosive day, and can trigger months of trending price action
- 3. Retest after Expansion from Accumulation Phase:** The first major retest after expansion from an Accumulation phase offers a high probability opportunity with great trade location
- 4. Failed New Lows (Markup Phase):** Failed New Lows within a mature markup phase can offer strong rejections and quick bounces to new highs
- 5. BTFD (Markup Phase):** Anytime a mature markup phase develops, it's best to BTFD (Buy The Freaking Dip) using pullbacks to the PEMA trigger zone or pivot range

BEARISH MARKET STRUCTURE

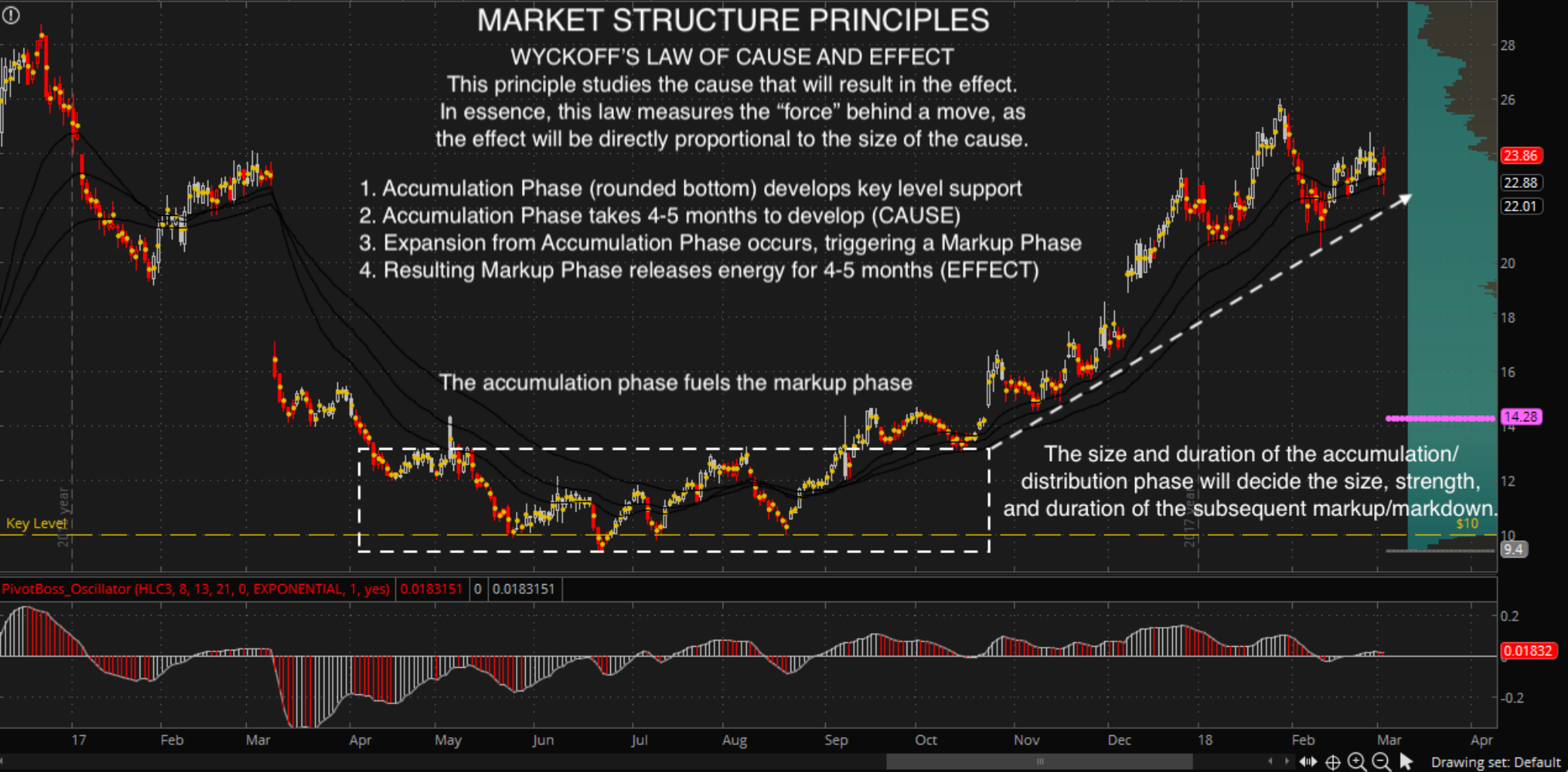
- 1. Failed New High (Distribution Phase):** The failed new high (failed range expansion) at the top of Distribution is one of the most powerful trade opportunities
- 2. Expansion from Distribution Phase:** The transition day from Distribution to Markdown can oftentimes be an explosive day, and can trigger months of trending price action
- 3. Retest after Expansion from Distribution Phase:** The first major retest after expansion from a Distribution phase offers a high probability opportunity with great trade location
- 4. Failed New Highs (Markdown Phase):** Failed New Highs within a mature markdown phase can offer strong rejections and quick sell-offs to new lows
- 5. STFR (Markdown Phase):** Anytime a mature markdown phase develops, it's best to STFR (Sell The Freaking Rip) using pullbacks to the PEMA trigger zone or pivot range

TLRD - Quick Chart Main@thinkorswim [build 1922]

Quick Chart on TLRD

TLRD TAILORED BRANDS INC COM 23.86 1.49 2.10% Share Settings D Style Drawings Studies Patterns

TLRD 5 Y 1D [NASDAQ] D: 3/2/18 O: 23.04 H: 24.24 L: 22.5 C: 23.86 R: 1.74 MedianPrice 23.37 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A

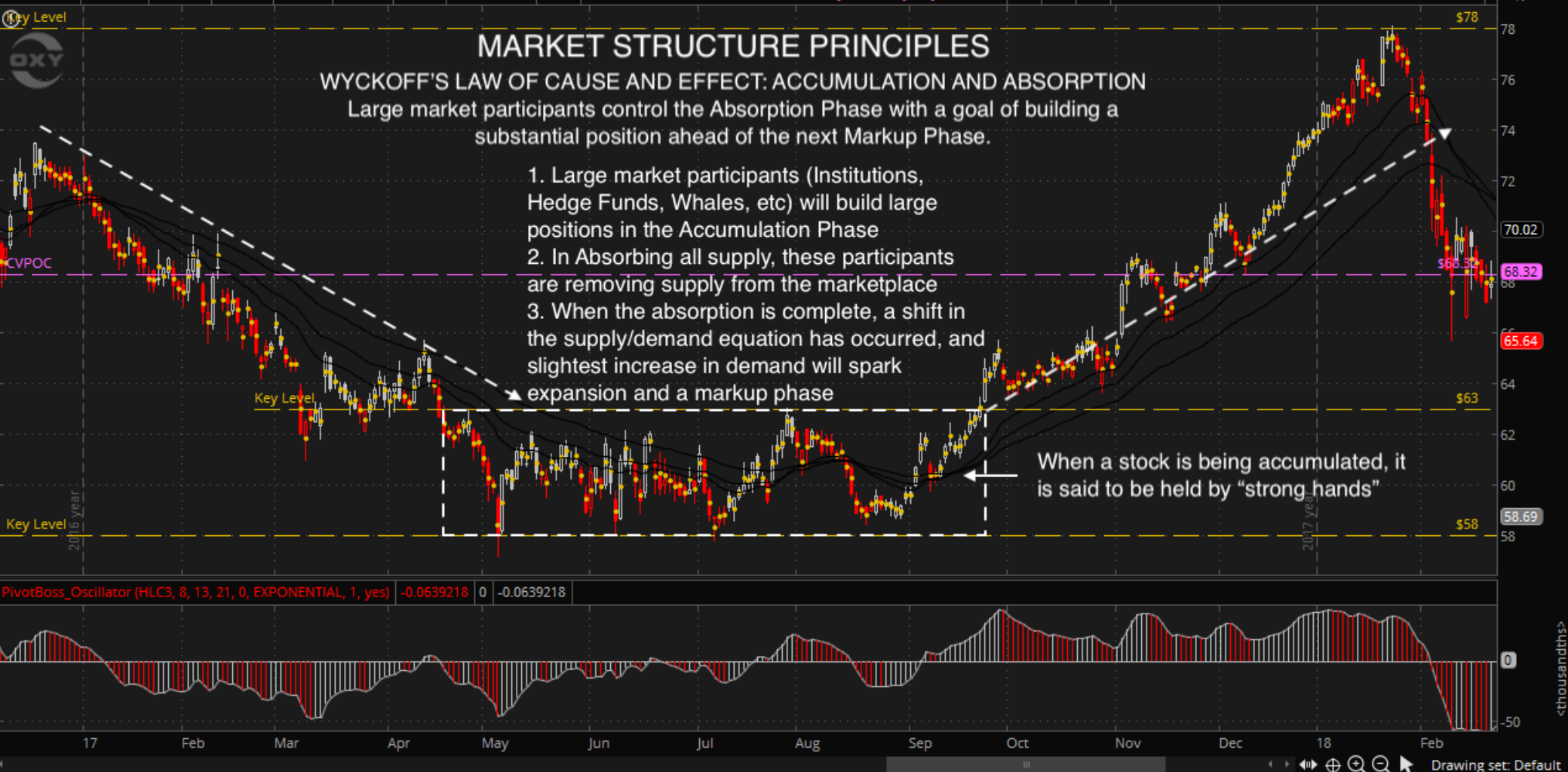


Drawing set: Default

OXY - Quick Chart Main@thinkorswim [build 1922]

Quick Chart on OXY

OXY 5 Y 1D D: 3/2/18 O: 65.12 H: 65.85 L: 64.24 C: 65.64 R: 1.61 MedianPrice 65.04 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A



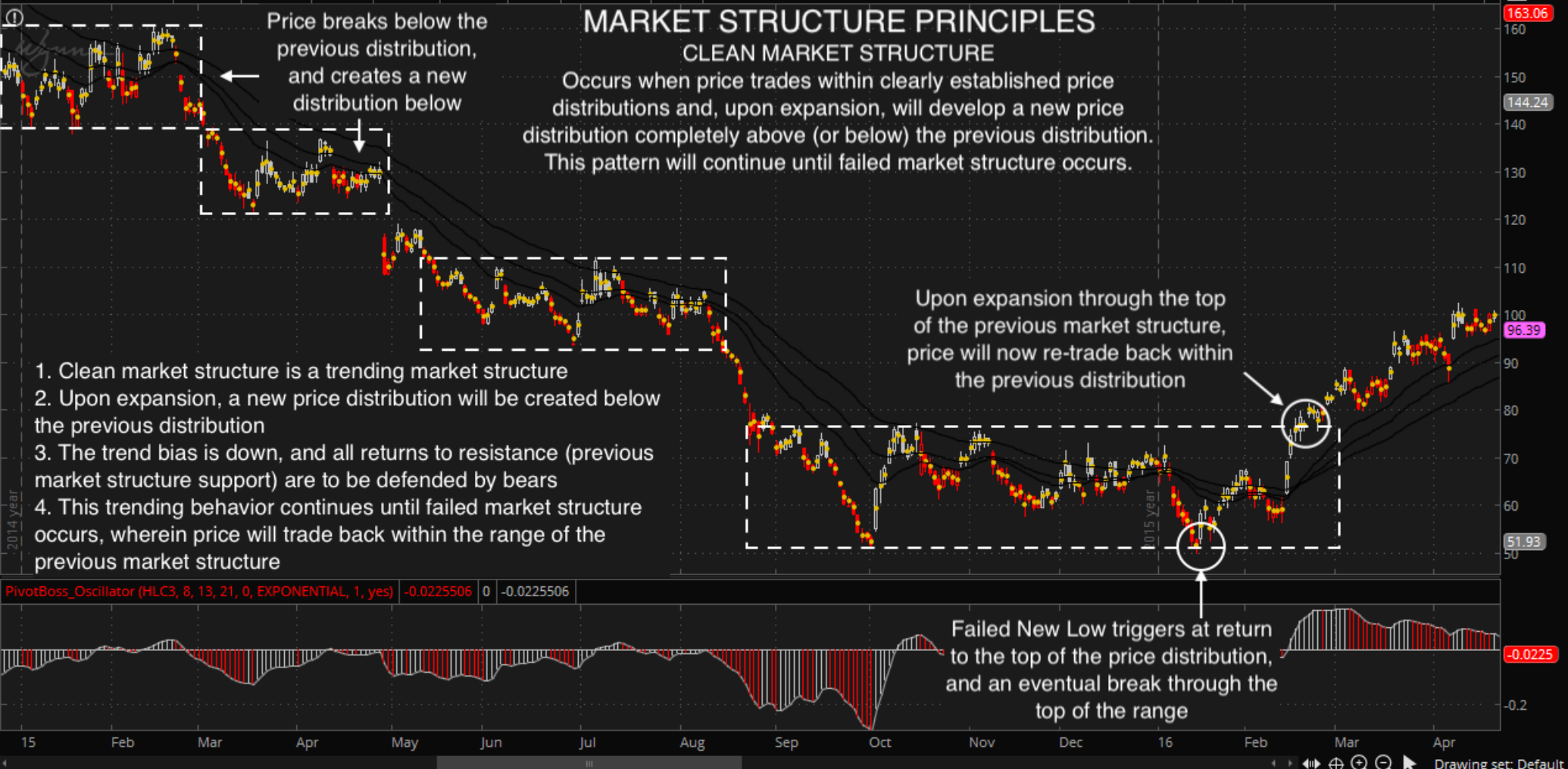
WYNN - Quick Chart Main@thinkorswim [build 1922]

Quick Chart on WYNN

WYNN WYNN RESORTS LTD COM 163.06 -36 -0.22%

Share Settings D Style Drawings Studies Patterns

WYNN 5 Y 1D [NASDAQ] D: 3/2/18 O: 161.78 H: 163.5 L: 156.54 C: 163.06 R: 6.96 MedianPrice 160.02 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A



AN - Quick Chart Main@thinkorswim [build 1922]

Quick Chart on AN

AN 5 Y 1D D: 3/2/18 O: 48.56 H: 49.95 L: 48.01 C: 49.67 R: 1.94 MedianPrice 48.98 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A

MARKET STRUCTURE PRINCIPLES

MARKET STRUCTURE AND TRADE IDEAS
Your ability to forecast improves when you base your analysis off market structure. Additionally, trade ideas that are based off market structure are incredibly powerful and plentiful.

Failed market structure returns price across the width of the previous distribution

1 Significant accumulation develops over a 5-month period of time...

2 ...and fuels 5 months of bullish trending price action

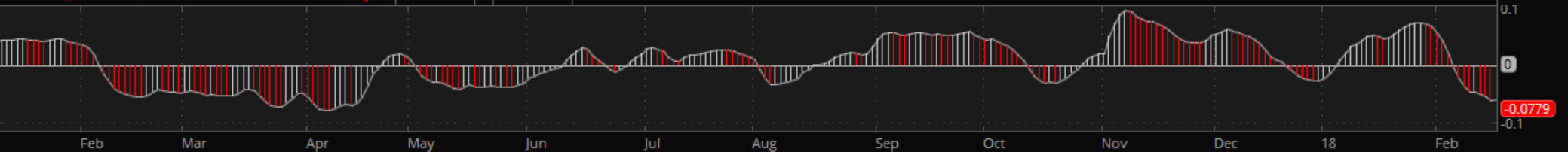
Retest After Expansion - a high probability trade opportunity

Key Level

CVPOC

Key Level

PivotBoss_Oscillator (HLC3, 8, 13, 21, 0, EXPONENTIAL, 1, yes) -0.0779388 0 -0.0779388

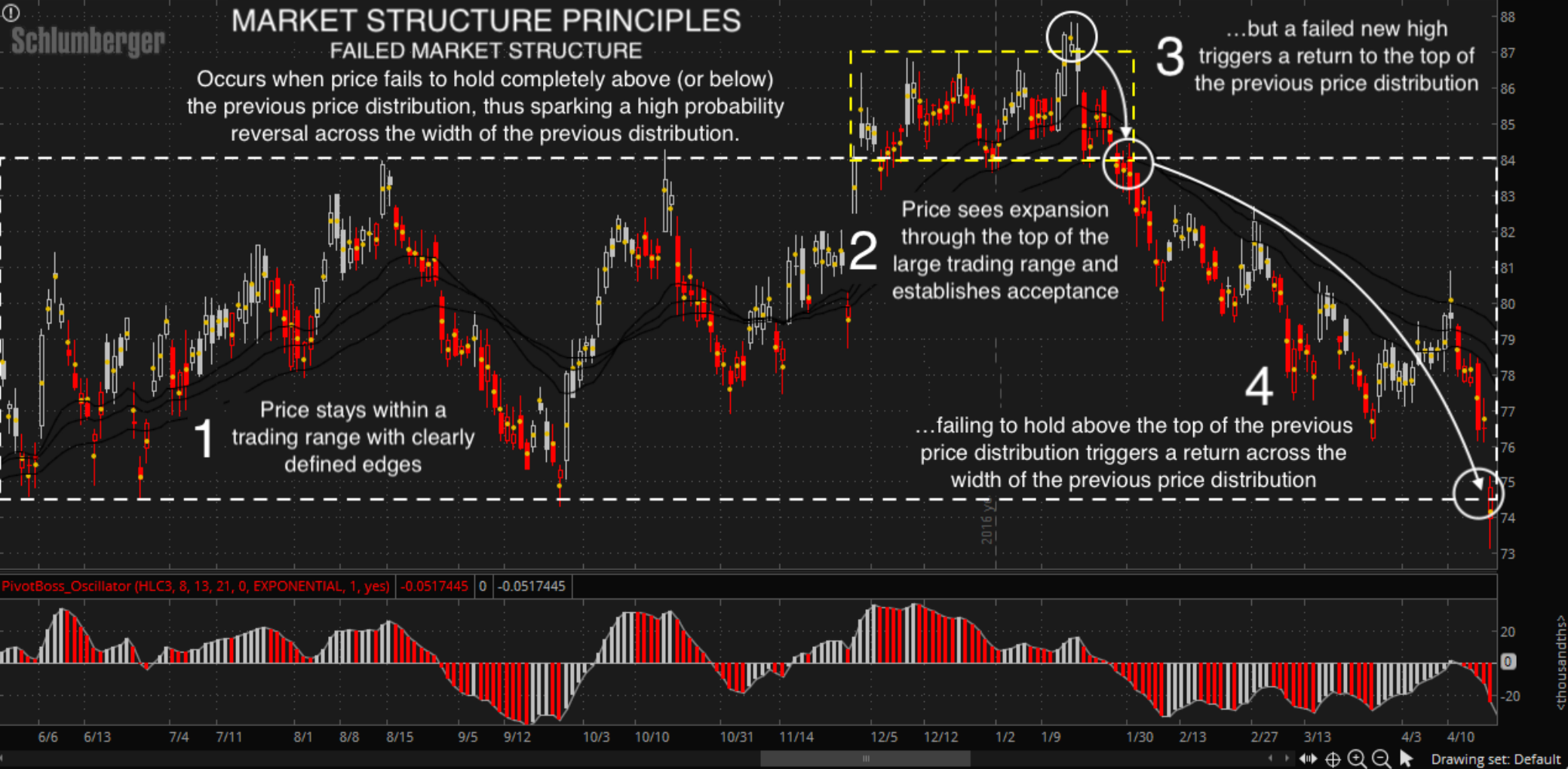


Feb Mar Apr May Jun Jul Aug Sep Oct Nov Dec 18 Feb Drawing set: Default

SLB - Quick Chart Main@thinkorswim [build 1922]

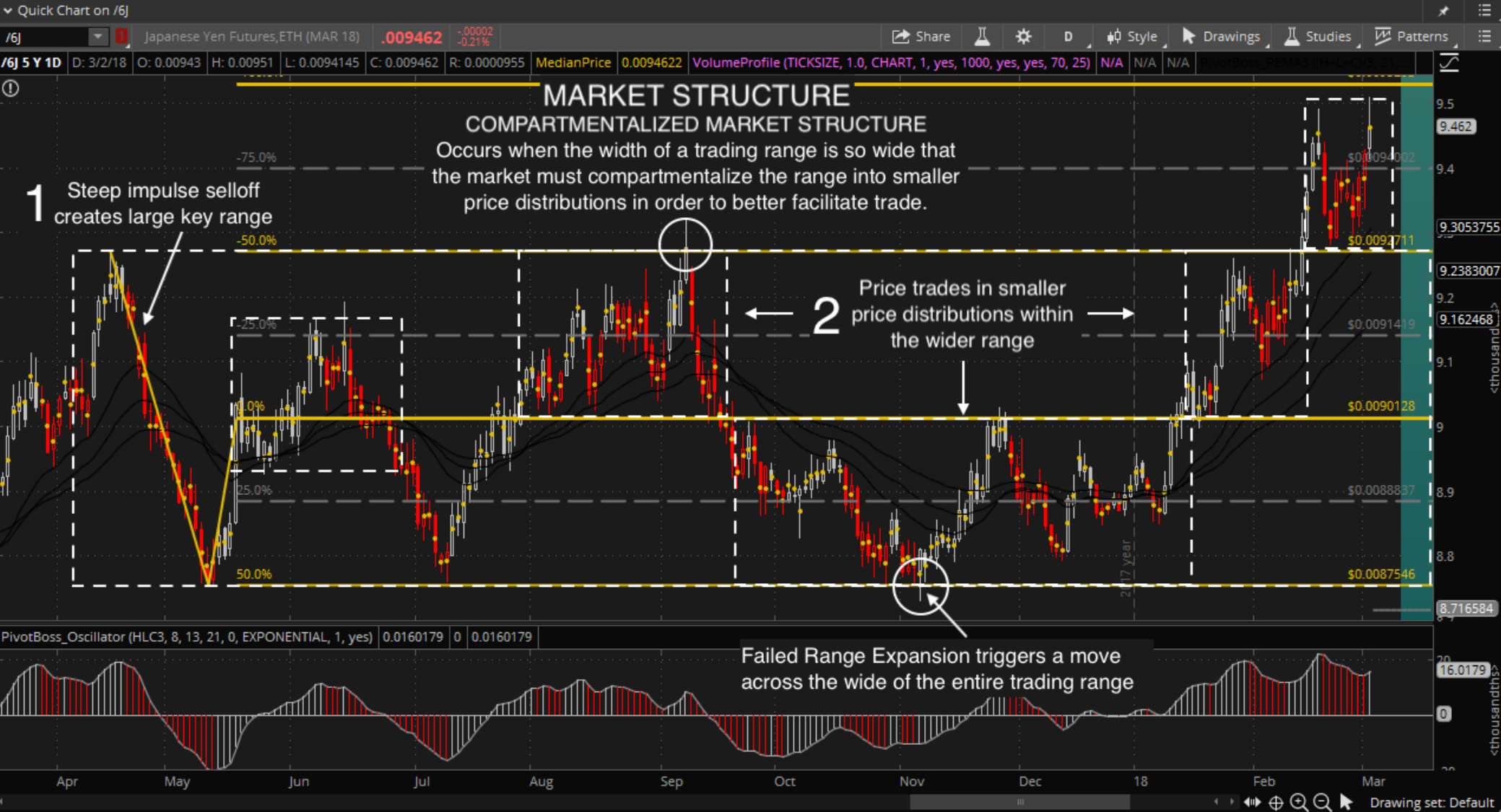
Quick Chart on SLB

SLB SCHLUMBERGER LTD COM 65.47
 SLB 5 Y 1D D: 3/2/18 O: 64.65 H: 65.72 L: 63.9 C: 65.47 R: 1.81 MedianPrice 64.81 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A



Drawing set: Default

/6/ - Quick Chart Main@thinkorswim [build 1922]

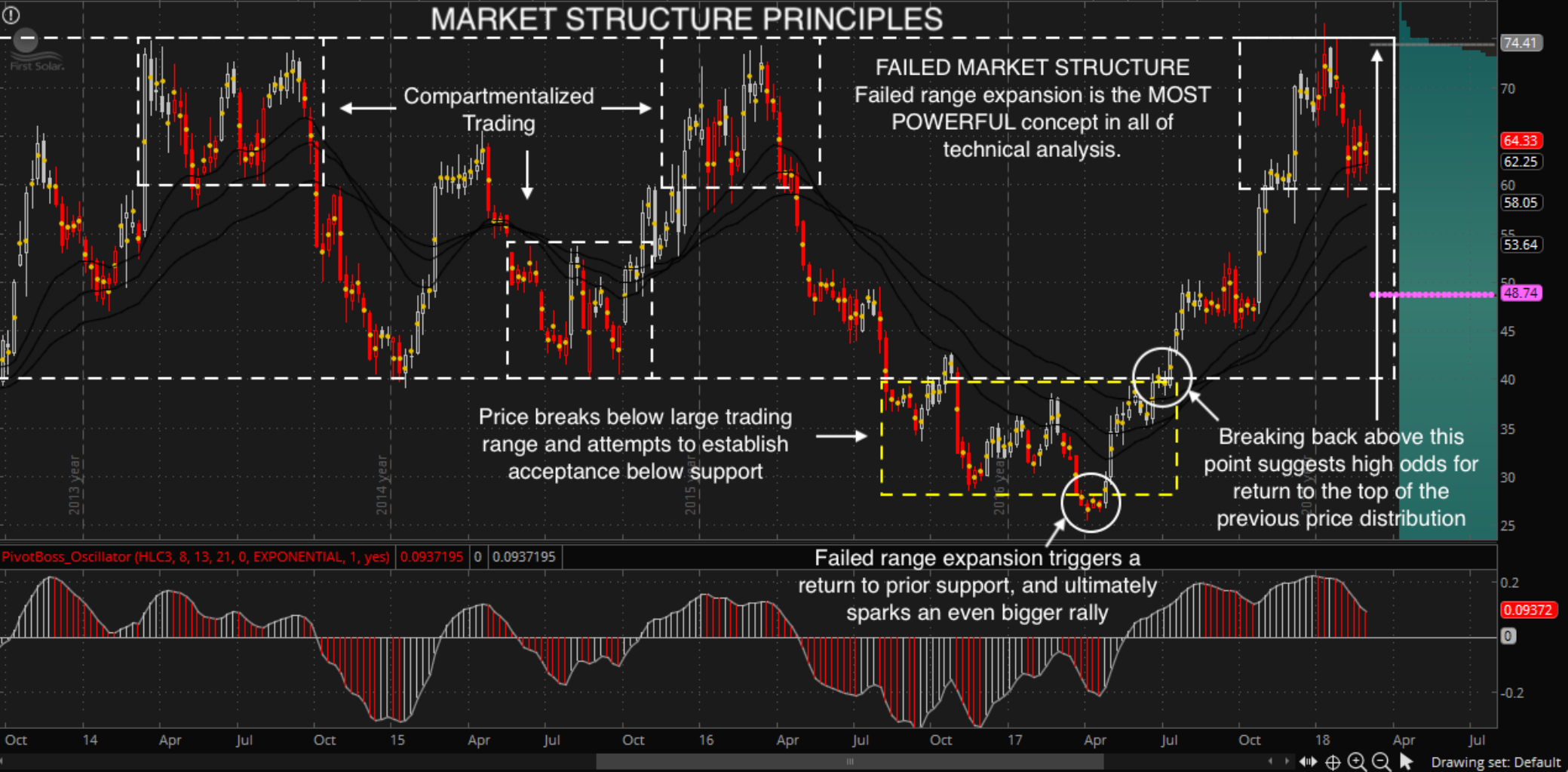


FSLR - Quick Chart Main@thinkorswim [build 1922]

Quick Chart on FSLR

FSLR FIRST SOLAR INC COM 64.33 +3.24 +5.21% Share Wk Style Drawings Studies Patterns

FSLR 10 Y W [NASDAQ] D: 2/26/18 O: 62.05 H: 65.25 L: 61.14 C: 64.33 R: 4.11 MedianPrice 63.19 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A



/GC - Quick Chart Main@thinkorswim [build 1922]

Quick Chart on /GC

/GC Gold Futures, ETH (APR 18) 1323.7 +30 +0.02%
 /GC 5 Y 1D D: 3/2/18 O: 1318 H: 1326.6 L: 1316.2 C: 1323.7 R: 10.4 MedianPrice 1321.4 VolumeProfile (TICKSIZE, 1.0, CHART, 1, yes, 1000, yes, yes, 70, 25) N/A N/A N/A

MARKET STRUCTURE PRINCIPLES ACCUMULATION/DISTRIBUTION

CVPOC

MCVPOC

Key Level

Compressed Accumulation range builds energy for expansion

Blowoff Top suggests a phase of Distribution will begin developing

Large Distribution phase develops, which facilitates two-sided trade

Expansion from Accumulation leads to a strong rally

Price Level1

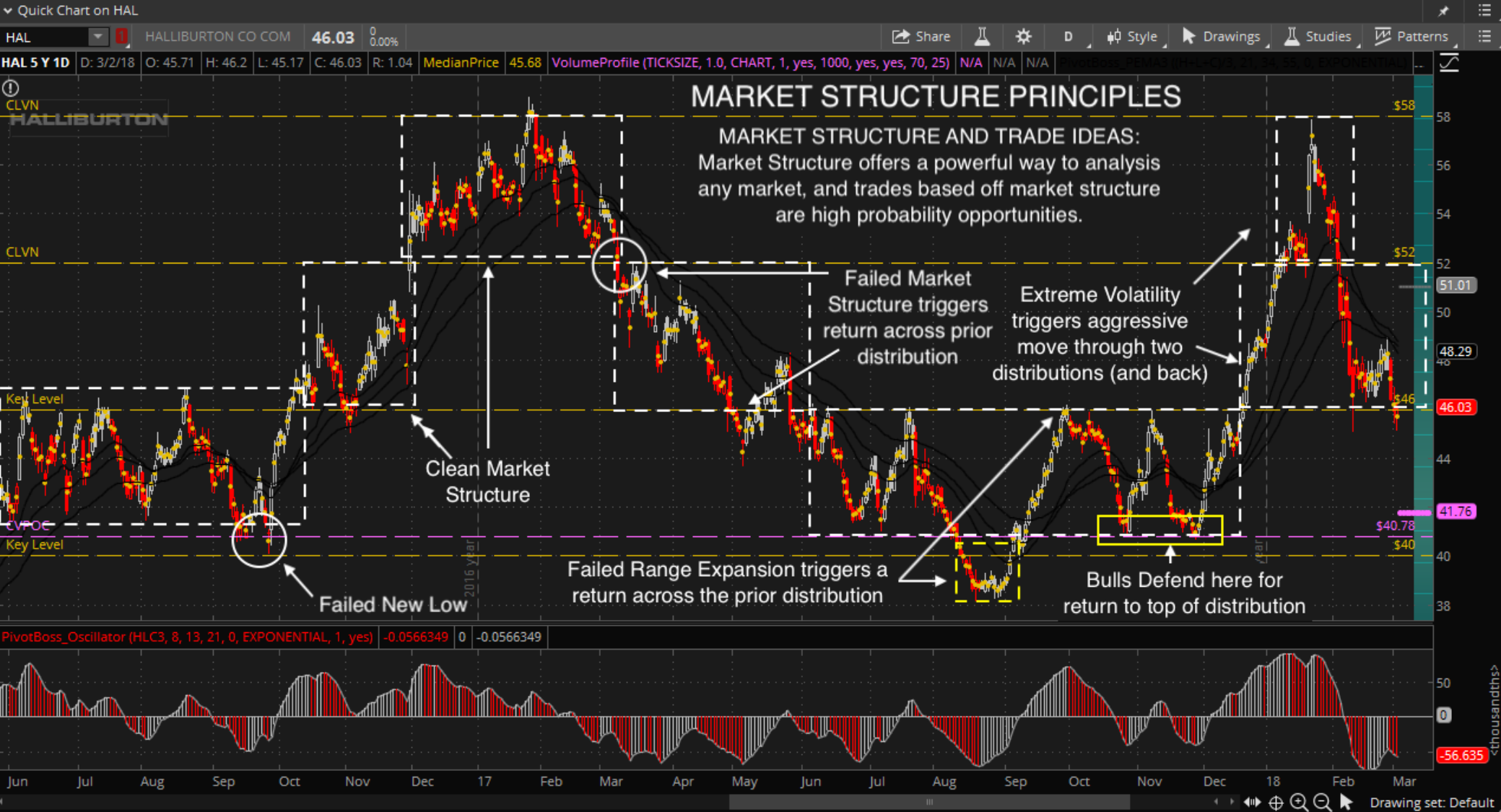
PivotBoss_Oscillator (HLC3, 8, 13, 21, 0, EXPONENTIAL, 1, yes) -0.0062148 0 -0.0062148



<thousands>

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